

CORPORATE ASSET CAPITALIZATION & DEPRECIATION POLICY 2025

Manufacturer Inc. • Corporate Controllershship • Approved by the Finance Policy Committee

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Effective Date	January 1, 2025
Supersedes	FIN-POL-2023-11 (Capitalization & Depreciation), issued March 1, 2023
Policy Owner	Corporate Controller
Applies To	All divisions, subsidiaries, branches and cost centers of Manufacturer Inc.
Next Scheduled Review	December 31, 2025

1. Purpose and Scope

1.1. This policy establishes the minimum cost value and useful life standards for the capitalization and depreciation of fixed assets. It applies to all divisions, subsidiaries, and departments of the company, including the Manufacturing Division, and governs both the general ledger fixed asset subledger and the quarterly fixed asset register maintained by each division.

1.2. The objectives of this policy are to ensure that (a) expenditures are consistently classified as either capital or expense across all reporting units, (b) depreciation expense is recognized on a systematic and rational basis over the period the asset is expected to contribute economic benefit, and (c) the company's fixed asset records support the assertions made in its externally reported financial statements.

1.3. This policy governs book (financial reporting) treatment. Tax depreciation is computed on a separate basis and is governed by directives issued from time to time by the Office of the Chief Tax Counsel. Where a tax directive and this policy differ, this policy continues to govern the book records and the tax directive governs the tax provision; the resulting difference is tracked as a temporary book-tax difference in the deferred tax schedule.

1.4. Divisional Controllers are responsible for the accuracy and completeness of the fixed asset register for their division. Deviations from this policy require prior written approval from the Corporate Controller.

1.5. **Approval authority.** Capital expenditure requests, and any subsequent modification projects charged against an asset already in service, must be approved in advance at the following levels before any cost is committed:

Aggregate Project Cost	Approving Authority	Supporting Document Required
\$2,500 – \$24,999	Divisional Controller	Capital Request Form
\$25,000 – \$99,999	Divisional Controller and VP Operations	Capital Request Form; scope memo
\$100,000 – \$499,999	Corporate Controller and CFO	Capital Request Form; business case
\$500,000 and above	CFO and Board Capital Committee	Full appropriation request

1.6. Approval of a capital request does not determine the accounting classification, useful life or depreciation method of the resulting asset. Those determinations are made by the Divisional Controller by applying Sections 3 through 5 of this policy to the facts of the completed project, independently of the approval route taken.

2. Definitions

2.1. **Fixed Asset.** A tangible item held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, and expected to be used during more than one annual reporting period.

2.2. Placed in Service. The date on which an asset is both available for use and in the location and condition necessary for it to operate in the manner intended by management. For assets requiring installation, commissioning, calibration or acceptance testing, the placed-in-service date is the date of final acceptance, not the date of delivery or the date of invoice.

2.3. Useful Life. The period over which an asset is expected to be available for use by the company, expressed in years. Useful life is an entity-specific estimate and may be shorter than the asset's physical or economic life where company-specific factors limit the period of expected use.

2.4. Betterment. An expenditure that extends the useful life of an existing asset, increases its output capacity, materially improves the quality of its output, or adapts it to a use for which it was not originally suited.

2.5. Heavy Modification. A betterment, or a series of related betterments undertaken as a single project, that alters the physical configuration, control systems, tooling interfaces or operating envelope of an asset such that the asset can no longer be operated in, or returned to, its manufacturer-standard configuration without disassembly and replacement of modified components.

2.6. Proprietary Company Use. Use of an asset in a process, configuration or specification that is confidential to the company, that embodies company-owned intellectual property, or that is not offered by the asset's manufacturer as a standard product option.

2.7. Unit of Account. The level of aggregation at which an asset is recorded, depreciated, reviewed for impairment and retired. An asset and any capitalized betterments to that asset are recorded, depreciated and retired as a single unit of account. Component-level depreciation, under which separately identified parts of a single asset are assigned different useful lives, is not permitted under this policy.

2.8. Right-of-Use Asset. The asset recognized by the company, as lessee, representing its right to use an underlying asset over the lease term.

2.9. Lease Modification. A change to the terms and conditions of a contract containing a lease that results in a change in the scope of, or the consideration for, that lease, and that was not part of the original terms and conditions of the contract.

2.10. Fiscal Year and Quarters. The company's fiscal year is the calendar year. Fiscal quarters end March 31, June 30, September 30 and December 31. References in this policy to a quarter mean a three-month fiscal quarter of the company.

2.11. Book Basis and Tax Basis. Book basis is the carrying value of an asset determined under this policy for financial reporting purposes. Tax basis is determined separately under applicable tax law and under directives issued by the Office of the Chief Tax Counsel; nothing in this policy establishes, limits or overrides the tax basis or the tax recovery period of an asset.

3. Capitalization Threshold and Standard Book Depreciation Rules

3.1. Threshold. Assets purchased with a useful life exceeding one year and a cost exceeding \$2,500 must be capitalized. Assets below this threshold must be expensed immediately in the period incurred.

3.2. Capitalizable costs. Costs include all expenditures necessary to place the asset in its intended state of operation. This includes the purchase price net of trade discounts, non-refundable transaction taxes, freight and rigging, site preparation, installation and assembly labor, commissioning and acceptance testing, and the cost of tooling, fixtures or control software that is integral to the asset's operation.

3.3. Non-capitalizable costs. Training, routine maintenance, consumables, extended warranty and service contracts, relocation of an asset already in service, and general administrative overhead are expensed as incurred.

3.4. Betterments. Expenditures meeting the definition in Section 2.4 and exceeding the threshold in Section 3.1 are capitalized into the carrying value of the underlying asset. Expenditures that merely restore an asset to its previously assessed level of performance are repairs and are expensed.

3.5. Aggregation of related expenditures. The threshold in Section 3.1 is applied to a project as a whole, not to its individual invoices or line items. Divisions may not disaggregate a single capital project into components below the

threshold in order to expense it.

3.6. Method and salvage value. Unless otherwise noted, the company utilizes the straight-line method for book depreciation over the estimated useful life of the asset. A salvage value of \$0 is assumed for all asset classes unless a documented, contractually committed residual is in place and has been approved in writing by the Corporate Controller. Depreciation commences in the month the asset is placed into service, and a full month of depreciation is recorded in that month.

3.7. Standard useful lives. The standard useful lives by asset class are:

Asset Class	Useful Life	Method
Information Technology (IT) Equipment (servers, server racks, network hardware, laptops, peripherals)	5 years	Straight-Line
Office Furniture & Fixtures	7 years	Straight-Line
Heavy Machinery & Industrial Equipment	7 years	Straight-Line
Vehicles	5 years	Straight-Line
Buildings and Building Improvements	39 years	Straight-Line

3.8. Partial periods. In the year of acquisition and in the year of disposal, book depreciation is recorded for the number of whole months the asset was held in service, computed as the annual depreciation charge multiplied by that number of months and divided by twelve.

3.9. Changes in estimate. A change in the assessed useful life of an asset is accounted for prospectively from the effective date of the change. The remaining net book value at that date is depreciated over the revised remaining useful life. Retrospective restatement of prior periods is not permitted for changes in estimate.

3.10. Correction of error. Where an asset has been assigned a useful life inconsistent with this policy at the point of initial recognition, the resulting misstatement is a correction of error, not a change in estimate, and the affected periods within the current fiscal year must be adjusted so that cumulative depreciation agrees to the amount required by this policy.

3.11. Asset tagging and register fields. Every capitalized asset must be assigned a unique asset identifier and recorded in the divisional fixed asset register with, at a minimum, the asset identifier, description, base asset class, capitalized cost, date acquired, placed-in-service date, assigned useful life, accumulated depreciation to date, status, and a narrative note describing any circumstance affecting the asset's expected period of use.

3.12. Disposals and retirements. On disposal, the asset's cost and accumulated depreciation are removed from the register in the month of disposal and any gain or loss is recognized in other operating income or expense. Assets that are idle but not disposed of continue to be depreciated.

3.13. Self-constructed assets and construction in progress. Costs incurred on assets under construction, or on modification projects not yet complete, are accumulated in construction in progress and are not depreciated. Such costs are transferred to the appropriate asset class and depreciation commences only when the asset, as constructed or as modified, is placed in service within the meaning of Section 2.2.

3.14. Interim reporting. Depreciation for an interim period is the sum of the monthly charges falling within that period, determined under Sections 3.6 through 3.8 and, where applicable, Section 4. Divisions may not annualize or smooth book depreciation across interim periods.

3.15. Fully depreciated assets. Assets that remain in service after reaching the end of their assigned useful life are retained on the register at cost with offsetting accumulated depreciation and are not revalued or re-lifed.

4. Exceptions and Special Treatments

Management recognizes that certain assets experience accelerated wear, technological obsolescence, or a constrained period of expected use. The following exceptions supersede the standard rules in Section 3 and are to be applied without further approval where the stated conditions are met. Where more than one exception could apply to the same asset, the exception producing the shortest useful life governs.

- **Exception 4.1.1.** Any IT Equipment deployed specifically for field testing in hazardous environments shall be depreciated over a 2-year useful life.
- **Exception 4.1.2.** Any asset, regardless of base class, that undergoes heavy modification for proprietary company use must be depreciated over a 3-year useful life due to the inability to resell or repurpose the asset. Consistent with Section 2.7, this exception is applied to the entire carrying value of the asset as modified, and from the date the modified asset is placed in service.
- **Exception 4.1.3.** Leasehold improvements are depreciated over the shorter of the asset's useful life or the remaining lease term.
- **Exception 4.1.4.** Assets acquired in a business combination retain the useful life assigned in the opening balance sheet until the next annual review.

4.2. An asset to which an exception in this Section applies remains classified within its base asset class for reporting, disclosure and register purposes; only the useful life is altered.

5. Leased Assets

5.1. **Classification and reassessment.** Lease classification is assessed at commencement and is reassessed only upon a modification that is not accounted for as a separate contract. A modification that extends the non-cancellable term, or that grants the lessee an option to obtain ownership of the underlying asset, requires reassessment as of the effective date of the modification.

5.2. Where a lease is classified as a finance lease, the right-of-use asset is recognized at the measurement basis determined under Section 5.3 and is depreciated on a straight-line basis in accordance with Section 5.4. Recognition commences in the month in which the classification or reclassification takes effect.

5.3. **Measurement.** The right-of-use asset is measured at the present value of the remaining lease payments. Where the rate implicit in the lease is not readily determinable and no incremental borrowing rate has been established for the division, the right-of-use asset is instead measured at the fair value of the underlying asset as agreed between the parties and evidenced in the lease documentation as of the classification or reclassification date. The Manufacturing Division has no established incremental borrowing rate for the current fiscal year.

5.4. **Depreciable life.** Where a finance lease transfers ownership of the underlying asset to the company by the end of the lease term, or contains a purchase option that the company is reasonably certain to exercise, the right-of-use asset is depreciated over the standard useful life of the underlying asset class per Section 3.7. In all other finance leases, the right-of-use asset is depreciated over the shorter of that useful life and the remaining lease term.

5.5. Leases not classified as finance leases are accounted for as operating leases and the lease cost is recognized in operating expense on a straight-line basis over the lease term.

6. Review, Impairment and Governance

6.1. The fixed asset register must be reviewed quarterly. Any assets showing signs of impairment must be tested and written down to their fair market value in accordance with ASC 360.

6.2. The quarterly review must confirm, at a minimum, that each active asset carries a useful life consistent with Sections 3 and 4 of this policy, that assets disposed of in the period have been retired from the register, and that any lease reassessment triggered under Section 5.1 has been reflected in the register in the period in which the triggering event occurred.

6.3. Exceptions to this policy, and any proposed change to an asset's useful life outside the exceptions in Section 4, require the written approval of the Corporate Controller prior to posting.

End of policy FIN-POL-2025-04. Distribution: Divisional Controllers, Corporate Tax, Internal Audit, External Auditor (as requested).